Markets

Hedge Funds Rush to Cover Euro Short Bets Ahead of US Inflation

- Options traders are most bullish the euro since February
- Currency trades near $1.08 with focus on US PPI, CPI releases

By Vassilis Karamanis
May 14, 2024 at 4:14 AM EDT

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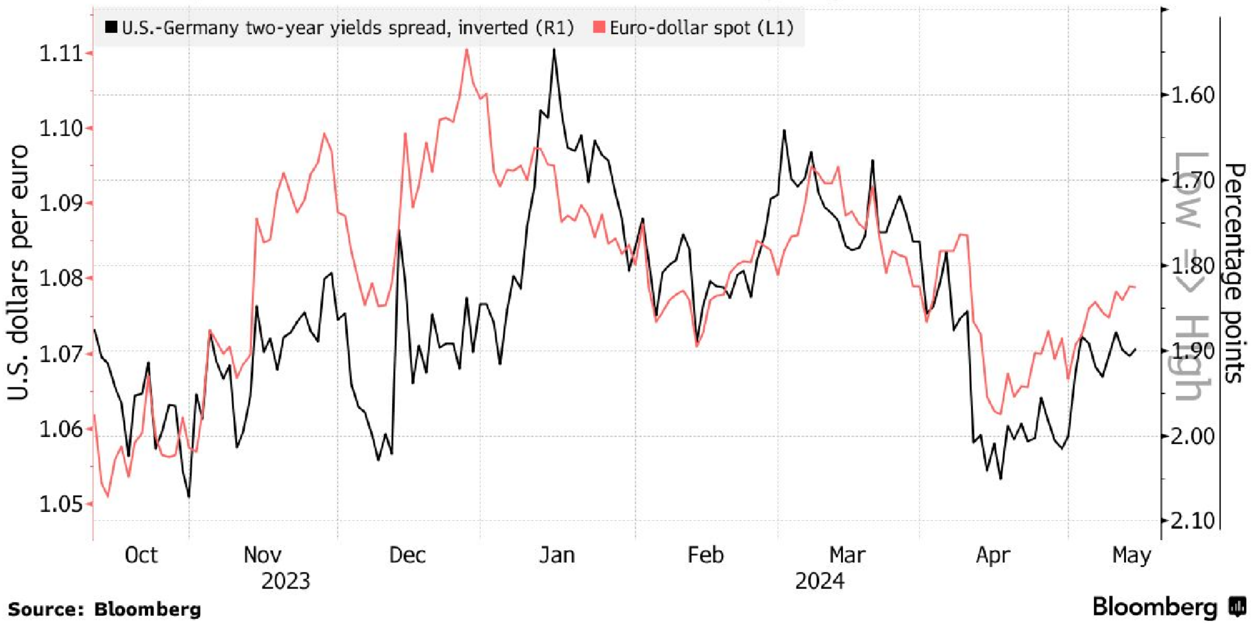
Currency traders are positioning for a stronger euro, betting softer US inflation will bring the outlook for monetary policy on both sides of the Atlantic closer in sync.

Demand for options that pay out if the common currency strengthens against the dollar over the next week rose to the highest since February. Meanwhile, hedge funds and interbank traders have trimmed their euro shorts in the past few sessions, according to Europe-based FX traders familiar with the transactions who asked not to be identified because they aren't authorized to speak publicly.

The rebalancing comes ahead of US producer prices due on Tuesday and consumer prices on Wednesday. Softer-than-expected readings could lead traders to assign a higher probability of two quarter-point interest-rate cuts from the Federal Reserve this year, reducing the gap with the European Central Bank, which is priced to lower rates as many as three times.

Euro Supported From Narrowing Interest Rate Diferrentials
Rebound in spot market meets bullish demand through options



The euro has strengthened in each of the past four weeks, its longest winning streak in a year, on hopes the ECB and Fed policies won't diverge as much as previously expected. Against this backdrop, hedge funds have reduced their shorts on the common currency by around 40% over the past month, according to CFTC data.

Economists forecast annual US consumer price growth decelerated to 3.4% in April from 3.5% the previous month, with the core reading also slowing. Inflation in the world's largest economy has been overshooting expectations so far this year, causing a major repricing in rate-cut bets.

A New York Fed survey released on Monday showed US consumer expectations for inflation over the next year rose to the highest since November, tempering euro gains. The currency is currently trading around $1.08, testing its 200-day moving average and close to challenging this year's bearish trend channel.

- NOTE: Vassilis Karamanis is an FX and rates strategist who writes for Bloomberg. The observations he makes are his own and are not intended as investment advice

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